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DIFFERENCE-IN-DIFFERENCES WITH VARIATION IN TREATMENT TIMING

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In contrast to our substantial understanding of the canonical 2x2 DD model, we know relatively little about the two-way fixed effects DD model when treatment timing varies. We do not know precisely how it compares mean outcomes across groups.<sup>5</sup> We typically rely on general descriptions of the identifying assumption like “interventions must be as good as random, conditional on time and group fixed effects” (Bertrand, Duflo, and Mullainathan 2004, p. 250), and consequently lack well-defined strategies to test the validity of the DD design with timing. We have limited understanding of the treatment effect parameter that regression DD identifies. Finally, we often cannot evaluate when alternative specifications will work or why they change estimates.<sup>6</sup>

This paper shows that the two-way fixed effects DD estimator in (2) is a weighted average of all possible 2x2 DD estimators that compare timing groups to each other. Some use units treated at a particular time as the treatment group and untreated units as the control group. Some compare units treated at two different times, using the later group as a control before its treatment begins and then the earlier group as a control after its treatment begins. As in any least squares estimator, the weights on the 2x2 DD’s are proportional to group sizes *and* the variance of the treatment dummy within each pair. Treatment variance is highest for groups treated in the middle of the panel and lowest for groups treated at the extremes. This result clarifies the theoretical interpretation and identifying assumptions of the general DD model and creates simple new tools for describing the design and analyzing problems that arise in practice.

By decomposing the DD estimator into its sources of variation (the 2x2 DD’s) and providing an explicit interpretation of the weights in terms of treatment variances, my results

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<sup>5</sup> Imai, Kim, and Wang (2018) note “It is well known that the standard DiD estimator is numerically equivalent to the linear two-way fixed effects regression estimator if there are two time periods and the treatment is administered to some units only in the second time period. Unfortunately, this equivalence result does not generalize to the multi-period DiD design...Nevertheless, researchers often motivate the use of the two-way fixed effects estimator by referring to the DiD design (e.g., Angrist and Pischke, 2009).”

<sup>6</sup> This often leads to sharp disagreements. See Neumark, Salas, and Wascher (2014) on unit-specific linear trends, Lee and Solon (2011) on weighting and outcome transformations, and Shore-Sheppard (2009) on age time fixed effects.